INDUSTRY CLASSIFICATION

Learning Outcome

- describe industry classification methods and compare methods by which companies can be grouped

An industry is commonly defined as companies that sell similar products or services, from the perspective of a customer. Challenges in defining an industry include whether to include substitutes, classifying companies that operate in multiple industries, geographical considerations, and making updates since business models are always evolving. To help analysts contend with these difficulties, third-party organizations maintain industry classification schemes that are widely used in investment management.

Third-Party Industry Classification Schemes

Early third-party industry classification schemes such as SIC, NACE, and ISIC were devised by government agencies, tended to be country-specific, and grouped companies by their production characteristics into industries such as agriculture, manufacturing, distribution, retail, and services. The schemes were not updated frequently and became less useful as new technologies and business models emerged and both issuers and investors became increasingly global. These legacy schemes used by investment analysts were largely replaced with commercial schemes such as the Global Industry Classification Standard (GICS) by MSCI and S&P Dow Jones Indices, Industry Classification Benchmark (ICB) by FTSE Russell, and The Refinitiv Business Classification (TRBC) by Refinitiv. These schemes are global, reviewed and updated at least annually, with new companies added more frequently, and group companies by the similarity of the products or services they sell—a “demand” approach rather than the “supply” approach of the legacy schemes. GICS and ICB cover public companies, while TRBC also covers private companies, non-profits, and government entities. Data aggregators (such as Bloomberg, FactSet, and CapIQ) and stock exchange operators (such as the London Stock Exchange) either use these industry classification schemes or have their own that are substantially similar.

GICS, ICB, and TRBC are strictly hierarchical taxonomies, analogous to the species, genus, family, etc., taxonomy used in biology. In each scheme, a company is classified to a *single* group in the lowest tier, with the groups themselves making up the higher tiers. In other words, continuing with the biology metaphor, a company is classified to a single species, which automatically assigns it to a genus, family, and so on. GICS, ICB, and TRBC have slightly different groupings, tiers, and names. Exhibit 3 shows the names and hierarchy of each scheme’s tiers, the number of groups in each tier, and the composition of the highest tier.

Exhibit 3:

GICS, ICB, and TRBC Structures

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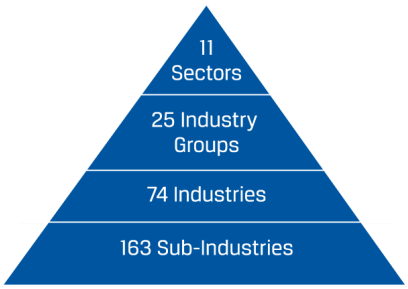
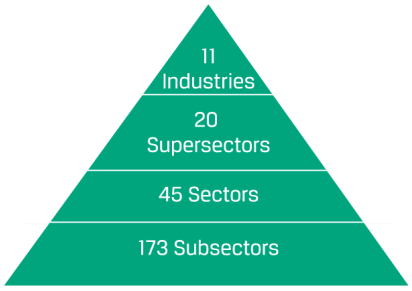


1. Energy
2. Financials
3. Materials
4. Information Technology
5. Industrials
6. Communication Services
7. Consumer Discretionary
8. Utilities
9. Consumer Staples
10. Real Estate
11. Health care

ICB by FTSE Russell



ICB Industries

1. Energy
2. Financials
3. Basic Materials
4. Information Technology
5. Industrials
6. Telecommunications
7. Consumer Discretionary
8. Utilities
9. Consumer Staples
10. Real Estate
11. Health care

TRBC by Refinitiv

TRBC Economic Sectors

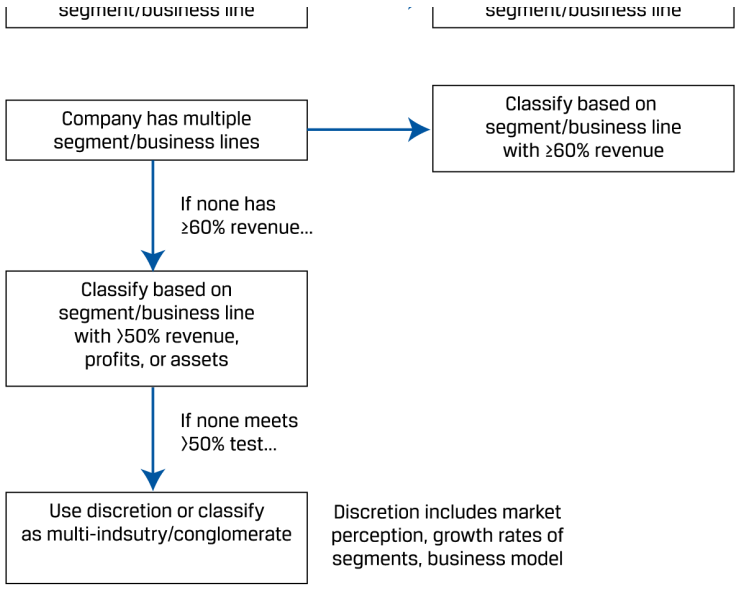
1. Energy
2. Financials
3. Basic Materials
4. Technology
5. Industrials
6. Communication Services
7. Consumer Cyclicals
8. Utilities
9. Consumer Non-Cyclicals
10. Real Estate
11. Healthcare
12. Institutions, Associations, and Organizations
13. Government Activity
14. Academic and Educational Services

▶ Expand / collapse Extended Description

GICS, ICB, and TRBC also have slightly different rules for companies operating in multiple industries, all of which use some discretion. While each scheme differs slightly, the general process is shown in Exhibit 4. The goal is to assign a company to a single grouping that describes the majority of its business.

Exhibit 4:

Classifying Companies to Industries



Limitations of Third-Party Industry Classification Schemes

While these classification schemes are a useful starting place for research (and they have other uses like index construction and investment performance attribution, described elsewhere in the curriculum), they have four important limitations that analysts must contend with in doing industry research:

1. Groupings of companies with business model variations or that sell substitute products
2. The classification of multi-product companies
3. Geographical considerations
4. Changes in groupings over time that affect prior-period comparability of industry statistics

Analysts may find that industry groupings in the third-party schemes are either too narrow or too broad, as the scheme providers use discretion in constructing groups based on product similarity and business model. Therefore, analysts must either use classification tiers at a higher or lower level or modify the groupings based on their own discretion and purposes of analysis. On the one hand, many companies classified as “application software” sell products with completely different functionality and do not compete with one another—for example, Shopify, the Canadian company that sells front-end and payment processing software to small and mid-sized e-commerce companies, is grouped with Check Point Software, an Israeli security software company. On the other hand, as will be shown with Warehouse Club Inc., retailers are classified into numerous sub-industries and even across sectors, although many of their product offerings overlap and are thus competing for the same consumer dollar.

Because GICS, ICB, and TRBC are strict taxonomies, multi-product companies are assigned to a single grouping. This treatment can be a problem for an analyst identifying competitors if a competitor is a division of a company classified in a different industry or even sector. The most prominent examples are in technology. A large software market is cloud infrastructure and platform services (sometimes called “public cloud”), which are computing, storage, and other IT-related capabilities sold on a metered basis to clients over the internet. Large players include Amazon Web Services, Microsoft Azure, Google Cloud Platform, and Alibaba Cloud, which are all divisions of larger parent companies with other segments that differ materially by business model. While Amazon and Alibaba are classified in the same industry, Alphabet (parent of Google Cloud Platform) and Microsoft are each classified in different sectors. Amazon’s classification as a consumer discretionary retailer has long inspired consternation, as most of its operating profits come from its Amazon Web Services segment, not e-commerce.

With their global nature, GICS, ICB, and TRBC are useful for some sectors and industries that are in fact global (primarily those that manufacture physical goods and digital

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competition. For example, only a small minority of people travel a significant distance from their home to receive healthcare services, and insurers (whether private or government) typically restrict the choice of provider geographically. Governments also regulate the practice of medicine through the licensing of facilities, physicians, and other practitioners. Therefore, the healthcare services industry is best examined on a national or regional basis; the economics of hospitals in the UAE have little relevance to those in France. However, this approach should not be taken for granted, as industries can globalize or localize based on business model changes. While media (pay TV) companies were once regional, the shift to internet-based streaming video has resulted in a global industry with new, larger players.

Finally, industry classification scheme providers change groupings and classifications, which can affect industry statistics. One of the largest changes, for example, was the creation of the Real Estate sector, composed primarily of Real Estate Investment Trusts carved out of the Financials sector. Additionally, public offerings and de-listings from acquisitions and bankruptcies change the composition of the groupings over time (introducing survivorship bias in historical returns statistics). Analysts should be aware of these issues, make sure that historical statistics are restated to conform to the latest groupings, and construct survivorship bias–free datasets if possible.

Case Study: Defining Warehouse Club Inc.'s Industry

Warehouse Club Inc. has a single line of business and would be assigned to the "Consumer Staples Merchandise Retail" sub-industry in GICS.

Sector	Industry Group	Industry	Sub-Industry	Other Sub-Industry Constituents
Consumer Staples	Consumer Staples Distribution & Retail	Consumer Staples Distribution & Retail	Consumer Staples Merchandise Retail	Costco, Walmart, BJ's, Carrefour, Sun Art Retail Group, Coles Group, PriceSmart

While this classification is logical, the sub-industry includes companies outside Warehouse's domestic geography that are less relevant to its customers and does not include many companies in its domestic geography that sell similar products to the same types of customers. For example, grocers and drugstores are included in a different sub-industry (Food Retail and Drug Retail, respectively), and e-commerce retailers that it competes with are in a different sector entirely (Consumer Discretionary).

The challenge in placing Warehouse in an industry is that it sells several categories of consumer goods, both staples and discretionary goods like apparel, as do many other companies. Retailers also have varying business models—including membership-based warehouses, e-commerce, and co-locations with other services like pharmacies—and have varying location, assortment, and pricing strategies.

Elaine Nguyen chooses to define Warehouse's industry more broadly than its GICS sub-industry by taking a customer perspective: retailers of all kinds operating in Warehouse's domestic geography, except for automobile and auto parts retailers as Warehouse does not sell those products or even substitutes for them (and it is a large category of domestic retail sales). Nguyen also does not include restaurants and food services, instead considering them substitutes.

Alternative Methods of Grouping Companies

used in contexts such as index construction and investment performance evaluation include the following:

- Geography, in which companies are classified by country and then countries are aggregated into categories such as developed, emerging, and frontier markets. Classification by country is typically by the country where the issuer is incorporated, the country of the primary listing of its equity securities, the location of its headquarters, or market perception. Note that classification by the geographic composition of revenue is generally *not* the approach taken, though this aspect may be the foremost concern for an analyst. For example, Toyota is universally classified as a Japanese company. However, its largest market by revenues is North America, which is also the location of most of its assets. The classification of developed, emerging, and frontier markets is more controversial, and third parties like index providers use greater discretion. It is not a quantitative determination but considers variables such as the size and liquidity of equity securities markets in the country, income per capita, and legal restrictions on foreign investment.
- Sensitivity to the business cycle, with groupings such as “defensive” and “cyclical.” Defensive companies are those whose sales growth, profitability, and valuations are less affected by changes in broad macroeconomic activity (e.g., GDP growth), while the opposite is true of cyclicals. Generally, this classification is done by grouping entire sectors from the industry classification schemes discussed earlier. Sectors such as consumer staples, healthcare, and utilities are considered defensive, while financials, basic materials, consumer discretionary, and industrials are considered cyclical. This grouping method can be combined with other methods—such as a geographic approach (e.g., Japanese cyclicals), because countries may vary with respect to their current position in the business cycle, or credit ratings (e.g., Japanese cyclicals with high-yield credit)—to further isolate exposure to certain risk factors.
- Statistical similarities, or the use of clustering analysis to group companies based on similarities of financial ratios and market data or co-movements of their securities’ investment returns. This approach includes grouping by size according to market capitalization or by other characteristics such as the following:
  - Valuation ratios
  - Growth rates of sales or earnings
  - Profitability ratios
  - Statistics based on price performance such as volatility and momentum
- ESG characteristics, such as the ratio of carbon emissions to revenues, measures of board and executive personnel diversity, and exposure to certain businesses such as tobacco and gambling. These metrics can be aggregated into composite ESG ratings or scores that enable cross-issuer comparability.

These groupings are usually relative (e.g., companies with dividend yields at or above the 75th percentile as of the measurement date) and tend to show far more turnover in their constituents than groupings based on industries and countries, because these statistics are less stable by company and companies’ rankings change.

Question Set

1. Contrast the Global Industry Classification Standard (GICS) commercial scheme with the Standard Industrial Classification (SIC) third-party classification system in terms of geographic coverage, update frequency, and the addition of new companies.

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   Solution:

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infrequently updated, and does not regularly add new companies.

2. The GICS, ICB, and TRBC commercial industry classification schemes suffer from which common problem when used by analysts?

A. They quickly become out of date.
B. They cover a limited number of countries.
C. They often classify multi-industry companies inaccurately.

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Solution:

C is correct. Commercial industry classification schemes are strictly hierarchical and assign each company to a single industry. Multi-industry companies are classified using evaluations of segment revenues, profits, or assets or the discretion of the scheme creator. This approach often results in classifications that are different from analyst expectations or in "multi-industry" classifications that are challenging to use in practice.

3. Identify whether each of the following sectors is generally considered "cyclical" or "defensive."

I. Consumer Staples	Cyclical	Defensive
II. Consumer Discretionary	Cyclical	Defensive
III. Energy	Cyclical	Defensive
IV. Healthcare	Cyclical	Defensive
V. Utilities	Cyclical	Defensive
VI. Financials	Cyclical	Defensive
VII. Industrials	Cyclical	Defensive
VIII. Technology	Cyclical	Defensive
IX. Materials	Cyclical	Defensive
X. Real Estate	Cyclical	Defensive

Hide Solution

Solution:

I. Defensive

II. Cyclical

III. Cyclical

IV. Defensive

V. Defensive

VI. Cyclical

VII. Cyclical

VIII. Defensive

IX. Cyclical

X. Defensive

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JA

I'm having a hard time agreeing Tech is defensive. Maybe historically its been defensive but certainly not lately. My biggest battle with the financial and investment industry right now is that the landscape has changed dramatically.

Created 2 months ago by Johnathon Adam Jones 0 replies | Last Activity: 2 months ago

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SS

How is real estate part of defensive sector? Very often, the prices are pushed up and down by market movements. Shouldn't it be cyclical?

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DH

there is a typo in exhibit 4: indsutry -> industry

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LP

Can somebody explain why Technology is considered a Defensive sector?

Created 10 months ago by Luigi Perra 6 replies | Last Activity: 4 months ago

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